

transformed the world in the 1800s. The opportunity is to understand how businesses can be transformed through AI," he says. From his point of view, there are three use cases—contact centre transformation, talent, and developer productivity. The approach is to first ask a client in, say, the telecom business what is being done through transformation, which leads to conversations with people building AI models apart from doing it themselves. "It is important for us to understand the impact on our clients. At the end of it, we are an enterprise tech firm," says Atul Soneja, the company's COO.

GETTING DOWN TO BUSINESS

The telecommunications dependence is substantial, as it is "a very powerful sector where there is engineering on the network with a B2C flavour as well". Tech Mahindra's history with British Telecom gave it a sound sector understanding.

Omkar Tanksale, Senior Research Analyst (IT) at Axis Securities, agrees that Tech Mahindra clearly "has valuation comfort" compared with peers like HCLTech, TCS and Infosys. "However, its exposure to the telecom vertical, which has an uncertain demand scenario, is dragging its revenue growth momentum," says Tanksale. "The challenges are exploring new growth areas and high exposure to the telecom vertical," he says.

Regarding profit margins, the litmus test for a busi-

ness, Tech Mahindra has some way to go. From FY19 to FY23, its net profit margin was between 9% and 12.6%. The number for FY23 was 9.11%. Rivals such as TCS reported 18-21% profit margins, and Infosys reported 16-19%. A smaller player like LTIMindtree has been reporting margins of over 15% for most of those five years.

That said, Joshi points out that there are multiple levers for margins. At an operational level, it is about high utilisation levels. From a strategic point of view, it comes down to pricing and pricing models. "There are additional elements like intellectual property; for this business, we must be long-term greedy and make those investments," he says.

According to Mehta of Samco Securities, the company's strategic initiatives and recent focus on improving margins are steps in the right direction to strengthen its position in the Indian IT industry. "Recent efforts such as reducing the number of strategic business units (halved to six during Q3FY24) and eliminating low-potential areas indicate a focus on optimising resources and enhancing profitability," he says.

Mehta says prioritising subcontracting, better utilisation, and controlling overhead costs could help. "The company is now focussed on prioritising contracts that yield higher profit margins, which will have a direct and positive impact," he says.

Rohit Anand, Tech Mahindra's CFO since Novem-

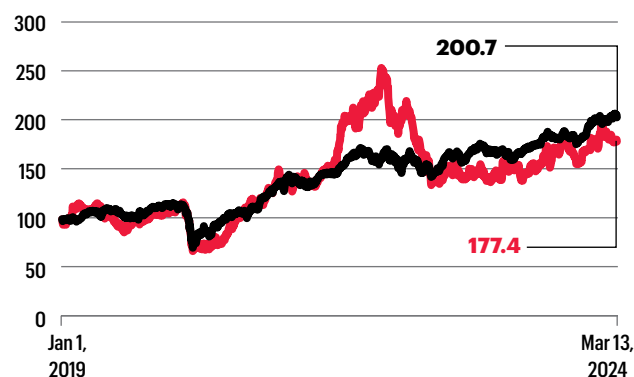


"[While Gen AI will drive revenue growth] the significant challenge is creating a specialised team and providing timely deliverables for IT services companies"

OMKAR TANKSALE
SENIOR RESEARCH ANALYST (IT)
AXIS SECURITIES

TRAILING THE SENSEX

- The company's stock price has been through its share of ups and downs for a while
- Strong revenue growth with better margins could lead to more enthusiasm from investors



— TECH MAHINDRA — BSE SENSEX
DATA HAS BEEN INDEXED TO 100 SOURCE ACE EQUITY